

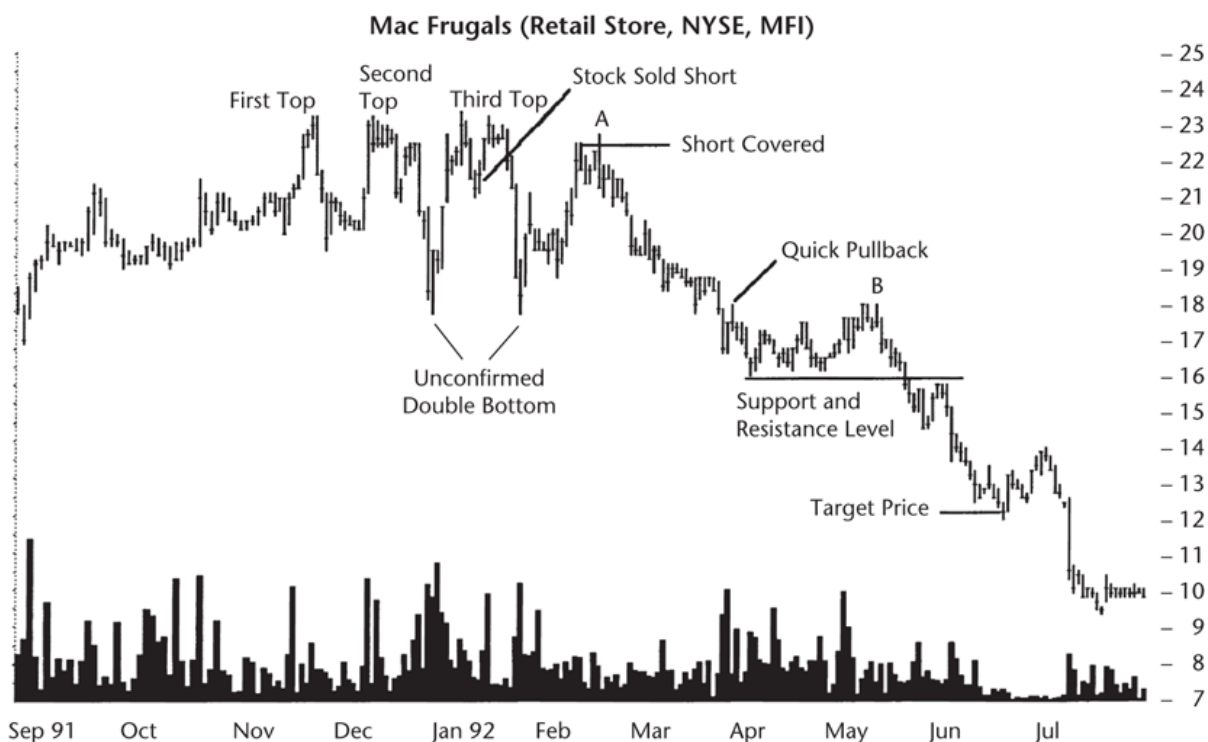


Figure 68.6 Triple top with unconfirmed double bottom. As described in the Sample Trade, Danielle sold this stock before it reached the confirmation point and then panicked at the unconfirmed double bottom. The stock eventually declined 56%. A descending scallop appears between points A and B.

She is a brilliant, anxious, high-energy person who is comfortable taking more risk than most people, so it came as no surprise when she jumped the gun and sold the stock short in early January. She wanted to maximize her gains, and once prices were clearly heading down, she placed the trade and received a fill at 21.50.

“The day after I sold short, the stock turned around and headed back up, making a fourth peak [it's the second peak in the third top]. *Gulp.*”

Instead of covering her loss, she decided to hang on. “I got lucky when price flipped around and headed back down.” Seven days later the stock reached the confirmation point of 17.75 but stalled.

“It looked as though the triple top became a multiple top, which developed into an unconfirmed double bottom. Very strange. As price climbed and my gains dwindled, I became a nervous wreck. Clearly shorting wasn't for me. Too much risk. I was wringing my hands. I was pacing the floor. I couldn't